

THE PLAN, IN FOUR NUMBERS

The Simple Version

BALANCE

\$2,000,000

RISK PER TRADE

1% = \$20,000

TRADES PER WEEK

5 - one each

REWARD

1:3 to 1:5

HOW TO READ EVERY NUMBER IN THIS DOCUMENT

1R = \$20,000. That is what you lose if a stop is hit, and it is the same on all five assets. A 1:3 winner pays 3R = \$60,000. A 1:5 winner pays 5R = \$100,000. Gold, oil, silver, bitcoin and the Dow - one trade each, once a week.

Week A - two stopped out, three winners

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stopped out	-1R	-\$20,000
WTIUSD	Stopped out	-1R	-\$20,000
XAGUSD	Target hit 1:3	+3R	+\$60,000
BTCUSD	Target hit 1:3	+3R	+\$60,000
DJIUSD	Target hit 1:5	+5R	+\$100,000
TOTAL	5 trades	+9R	+\$180,000

WEEK A PROFIT

+\$180,000

+9R on the week, or +9% of the balance. Two losses cost \$40,000 between them; the three winners brought back \$220,000.

IF THE THIRD WINNER ALSO RUNS TO 1:5

Two of the three winners were named as 1:3 and 1:5, so the third is taken as a 1:3 here. If it reaches 1:5 instead, the week is **+11R = +\$220,000** rather than +9R.

SCENARIO TWO

Week B - stops moved to entry

Same five trades, same \$20,000 of risk on each. This time every position is moved to break-even once it goes your way, so four trades scratch out at entry for nothing instead of losing, and one runs all the way to 1:5.

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stop moved to entry - scratched	+0R	\$0
WTIUSD	Stop moved to entry - scratched	+0R	\$0
XAGUSD	Stop moved to entry - scratched	+0R	\$0
BTCUSD	Stop moved to entry - scratched	+0R	\$0
DJIUSD	Target hit 1:5	+5R	+\$100,000
TOTAL	5 trades	+5R	+\$100,000

WEEK B PROFIT

+\$100,000

+5R on the week, or +5% of the balance - from a single winning trade out of five.

What moving the stop to entry is worth

MANAGEMENT	OUTCOME	R	RESULT
Stops left where they were	4 losses and 1 winner at 1:5	+1R	+\$20,000
Stops moved to entry	4 scratches and 1 winner at 1:5	+5R	+\$100,000
Difference	Same trades, same entries	+4R	+\$80,000

THE POINT OF WEEK B

Nothing about the trades changed - same entries, same stops, same targets. Only the management changed, and the week went from \$20,000 to \$100,000. The cost is that a trade which dips back to entry before running is now closed for nothing instead of eventually winning, so a real week lands somewhere between the two rows.

FOUR WEEKS

The Monthly Total

SCENARIO	PER WEEK	PER WEEK (\$)	PER MONTH	MONTH, FIXED SIZE	MONTH, COMPOUNDED
Week A repeated	+9R	+\$180,000	+36R	+\$720,000	+\$823,163
Week B repeated	+5R	+\$100,000	+20R	+\$400,000	+\$431,013

Fixed size keeps 1R at \$20,000 all month. **Compounded** recalculates 1% from the new balance each week, so the winners get bigger as the account grows. Four trading weeks to a month.

WEEK A - ONE MONTH

+\$720,000

Fixed sizing. Compounded weekly it is **+\$823,163**, taking the balance to \$2,823,163.

WEEK B - ONE MONTH

+\$400,000

Fixed sizing. Compounded weekly it is **+\$431,013**, taking the balance to \$2,431,013.

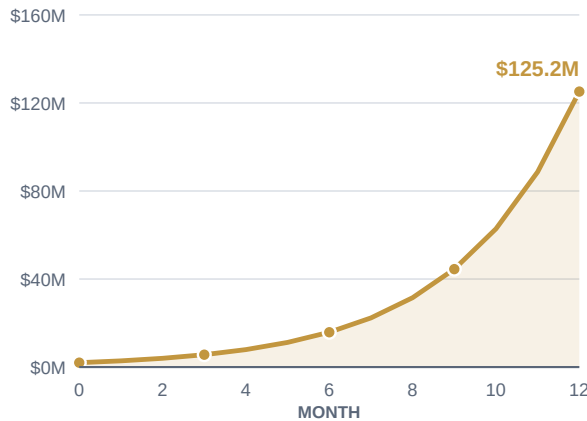
Twelve months, compounded

	WEEK A - BALANCE	GAIN	WEEK B - BALANCE	GAIN
Start	\$2,000,000	-	\$2,000,000	-
Month 1	\$2,823,163	+\$823,163	\$2,431,013	+\$431,013
Month 2	\$3,985,125	+\$1,985,125	\$2,954,911	+\$954,911
Month 3	\$5,625,330	+\$3,625,330	\$3,591,713	+\$1,591,713
Month 6	\$15,822,166	+\$13,822,166	\$6,450,200	+\$4,450,200
Month 9	\$44,502,450	+\$42,502,450	\$11,583,632	+\$9,583,632
Month 12	\$125,170,474	+\$123,170,474	\$20,802,539	+\$18,802,539

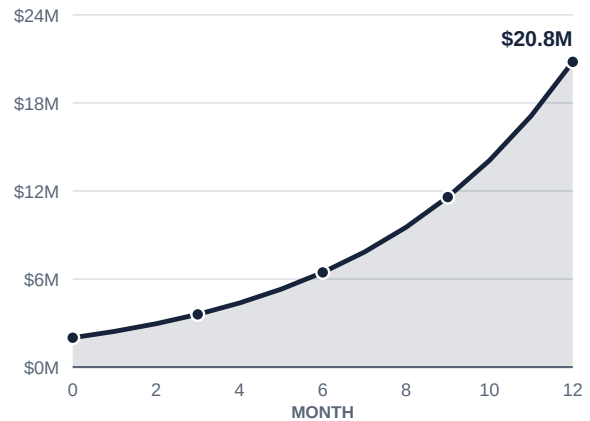
COMPOUNDED WEEKLY

Growth Over Twelve Months

WEEK A REPEATED - +9% a week



WEEK B REPEATED - +5% a week



Note the two vertical scales differ - Week A ends at \$125.2M, Week B at \$20.8M. Both curves are the same shape because both are the same arithmetic: a fixed weekly percentage, compounded.

The weeks that are not Week A

WEEK	R	PROFIT / LOSS	% OF BALANCE
All five stopped out	-5R	-\$100,000	-5.0%
Four stopped out, one winner at 1:3	-1R	-\$20,000	-1.0%
Three stopped out, two winners at 1:3	+3R	+\$60,000	+3.0%
Week A	+9R	+\$180,000	+9.0%

The same 1% risk that makes Week A worth \$180,000 makes the worst possible week cost \$100,000. Five losses in a row is a 5% drawdown - unpleasant, survivable, and the reason the risk is 1% and not 5%.

READ THIS BEFORE YOU TRUST THE CHART

Every figure here is correct arithmetic and none of it is a forecast. The charts assume the same week repeats fifty-two times without a single losing one - no month where three assets chop sideways, no gap through a stop, no drawdown. **A 9% week is a very good week, not an average one.** Real results also lose spread, commission and financing on every trade, and a \$2,000,000 account moving in and out of five markets will not always fill where it wants to. Treat these numbers as what the sequence is worth if it happens, not as what a year looks like.

EVERY TRADE

\$20,000

Risk \$20,000. Aim for \$60,000 to \$100,000. Take five a week, one on each asset. Move the stop to entry once it is going your way. That is the entire system.